Gujarat Fluorochemicals Ltd (GFL)

Concall tracker, filed under Q2 2027 | NSE: FLUOROCHEM | report built from 13 earnings calls, Nov 2023 to Nov 2026

1. Snapshot

GFL is an Indian chemical maker built on fluorine chemistry. It sells fluoropolymers (Teflon-type plastics such as PTFE, PVDF and FKM rubber used in cars, chip plants, data centres and chemical plants), refrigerant gases for air conditioners (R-32, R-22, R-125), some bulk chemicals (caustic soda, chloromethanes), and it's building a new battery-materials arm (GFCL EV) that makes LiPF6 salt, electrolyte, binders and LFP cathode powder.

Number	Value	Plain read
Market value	₹52,291 cr	A large company; the market prices it at about 64 times its last-year profit, so a lot of future growth is already in the price.
Sales, last 12 months	₹5,239 cr	Back above the FY23 peak (₹5,622 cr was the record) only in the latest quarter; FY24 to FY26 sales sat flat around ₹4,000-4,600 cr.
Net profit, last 12 months	₹808 cr	Still well below the FY23 record of ₹1,356 cr, but rising each quarter.
Operating margin	31% in Sep 2026 quarter	Out of every ₹100 of sales, about ₹31 is left before interest, tax and depreciation. That's back near the 30% management promised.
Borrowings	₹1,419 cr	Modest against ₹7,586 cr of shareholder money, but the battery plan needs much more cash.

2. Concall coverage

Quarter	Call date	Read?
Q2 FY24 to Q4 FY26 (10 calls)	Nov 2023 to Jun 2026	Skimmed for promises, guidance and timelines
Q1 FY27	Aug 2026	Read for guidance
Q2 FY27	3 Nov 2026	Read in full ★

13 calls covering three years. Good enough for a solid read on consistency.

Latest concall highlights, Q2 FY27 (3 Nov 2026)

- Best quarter in a long time: consolidated sales ₹1,760 cr, up 45% on last year, and profit ₹240 cr, up 42%. Growth came from both old businesses, not the battery side.
- Refrigerants carried it. Fluorochemicals sales more than doubled (₹607 cr vs ₹258 cr) as the new R-32 plant filled up. Management says the first phase of R-32 will be fully used by the end of Q3, and the R-134A plant starts by Q4 FY27.
- Fluoropolymers grew 22%, above the 17-20% yearly growth management keeps promising, helped by costlier grades for car engines, chip plants and data centres.
- Battery materials: LiPF6 now sells to five big global electrolyte makers; binder supplies under long-term contracts are due from Q4 FY27. But the big Oman battery plant is on hold and moved to India, so about ₹2,100 cr of battery spending slips by a quarter or so.
- Tone: confident on the core, careful on battery timing ("the pace of ramp-up will be linked to customer qualification").

Business mix & capacity. Domestic vs export split: not broken out on this call (the company sells fluoropolymers to customers in the US, Europe and Asia, so a large share is exports). Capacity: R-32 first phase near full by Q3 FY27; fluoropolymer monomer capacity is already in place, and new polymer reactors take only 8-10 months to add. Plain read: the old businesses can keep growing without a long wait for new plants.

3. Earning trigger thesis

The engine today is two old businesses doing well at the same time: fluoropolymers moving into costlier specialty grades, and refrigerant gas R-32 from a new plant. The bigger story management sells is the battery-materials arm, a planned ₹6,000 cr spend by FY28 at about two times asset turn and 25%+ margin. That one is still mostly a promise: it sells LiPF6, but LFP cathode, electrolyte and binders are in qualification and the large plant won't be ready before late FY28.

Trigger	What management said	Evidence so far	Horizon	Strength
Fluoropolymer shift to specialty grades	17-20% yearly growth, more high-value uses (FKM, PFA, modified PTFE)	22% growth in Q2 FY27, 15% the year before; margins back near 30%	Now to FY28	Strong: it's in the numbers
R-32 and R-134A refrigerants	R-32 full by Q3, R-134A starts Q4 FY27	Fluorochemicals sales more than doubled	Now to FY28	Strong, though gas prices swing
Battery materials (GFCL EV)	₹6,000 cr by FY28, 2x asset turn, 25% margin	LiPF6 selling; rest in qualification; Oman plant on hold	FY28 onwards	Unproven: timelines keep moving

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Debt is going up in the battery arm to fund its plants (Nov 2026).
New business	Yes	"LiPF6 sales is ramping up well with sales to 5 major global electrolyte players" (Nov 2026).
Margin up	Yes	Higher-value fluoropolymer applications "are contributing every quarter" (Nov 2026); margin back near 30%.
New management	No	Same CEO team.
New capacity	Yes	R-32 phase one full by Q3 FY27; R-134A to start production by Q4 FY27 (Nov 2026).
Big orders	Yes	LiPF6 "backed by multiyear order visibility"; binder supplies under long-term supply agreements from Q4 FY27 (Nov 2026).
Turnaround	No	Recovery from the FY24 slump is gradual, not called a turnaround.
Promoter buying	No	Not mentioned; promoter stake slipped slightly over the period.

Single concrete driver: the new R-32 refrigerant plant filling up and fluoropolymers moving into costlier grades for cars, chip plants and data centres.

3c. Margin bridge

Operating margin is about 31% now against about 32% a year ago and 25% two years ago. The climb back since FY24 came from the fluoropolymer mix moving to specialty grades and the refrigerant plant running fuller; the bulk-chemical side dragged as caustic soda prices fell. Management talks about this as the normal level for the business (lasting).

4. Management consistency scorecard

Period	What was promised	What happened	Verdict
Nov 2023	Back to the normal 30% margin in FY25	FY25 margin 24%, FY26 27%; only now near 30%	Missed (late)
Aug 2024		FY25 came in at ₹1,079 cr	Missed

	FY25 operating profit back to FY23 level (about ₹1,700-1,800 cr)		
FY25-FY26	Fluoropolymers 17-20% yearly growth	About 15% in FY26, 22% in Q2 FY27	Partly
Jun 2025 to Nov 2026	R-32 capacity, then R-134A in FY27	R-32 ramped; R-134A still on track for Q4	Delivered so far
Jun 2026	Oman battery plant goes ahead, "no impact"	Put on hold by Nov 2026, moved to India	Dropped
Jun 2026	LFP cathode final qualification by end of Q3 FY27	Still in qualification; large plant late FY28	Too early

Narrative drift: the core story (fluoropolymers plus refrigerants) has stayed the same for three years and is finally showing up. The battery story keeps its big headline number (₹6,000 cr by FY28) but the dates and the location keep moving. Margin and profit targets given in the FY24 slump were missed by a year or more.

5. Bottom line

Durable earning trigger? YES

The R-32 plant and the shift to specialty fluoropolymers are real and in the numbers this quarter. Battery materials is extra upside, not yet proven.

Management consistent? MAYBE

The core plan held, but early margin and profit targets were missed and the Oman battery plant went from "no impact" to on hold within two calls.

6. Checkpoints for next quarter

- R-32 first phase reported as fully used in Q3 FY27
- R-134A plant starts production by Q4 FY27
- Fluoropolymer sales keep growing within or above the 17-20% guide

Not investment advice. Sources: company earnings call transcripts via Screener.in; financials from Screener.in.